



Guideline for Recommending Quota Tariff Applied to Petroleum Products Imported for Spot E-Trading

Formulated on July 23, 2012

Amended on January 10, 2013

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§1. Purpose

The purpose of this Guideline is to stipulate the detailed matters related to making the recommendation on quota tariff applied to petroleum products imported for the purpose of distributing through the spot e-trading launched by the Korea Exchange (hereinafter referred to as the “Exchange”) pursuant to [§71] of the Customs Act and the guideline for recommending quota tariff application on the goods under jurisdiction of the Ministry of Knowledge Economy (Ministry of Knowledge Economy’s announcement No. 2012-556). (Amended on January 10, 2013)

§2. Product Eligible for Recommendation and Quantity Limit

(1) The products eligible for recommendation shall be the petroleum products to be distributed through the spot e-trading (regular grade gasoline and diesel fuel for automobiles), which are reported for import during the period from January 1, 2013 to June 30, 2013, and the quantity limit shall be 700,000 barrels for regular grade gasoline and 3,000,000 barrels for diesel. (Amended on January 10, 2013)

(2) Notwithstanding Para.(1), if the Minister of Knowledge Economy deems it necessary, the Chairman of Exchange may recommend the quantity that is below the limit specified in Para.(1) and in case of monthly recommended quantity, it shall not exceed 116,000 barrels for regular grade gasoline and 500,000 barrels for diesel fuel (excluding the quantity carried over from the previous month). (Amended on January 10, 2013)

(3) The quantity (referred to as the “quantity supplied to economy petro station” hereinafter) that the person wishing to obtain the endorsement for quota tariff application (referred to as the “applicant” hereinafter) has supplied to the economy petro station through e-trading shall be recommended in its entire quantity (excluding the quantity already recommended). However, in case where the concerned quantity supplied to the economy petro station exceeds the recommendation limit pursuant to Para.(2), it shall be recommended in proportion to the quantity that each applicant supplied to the economy petro station. [January 10, 2013]

(4) In case where total quantity applied, other than the quantity supplied to economy petro station already recommended pursuant to Par.(3), exceeds the recommendation limit pursuant to Paras.(2) & (3), the recommendation shall be made in proportion to the quantity applied (excluding the quantity supplied to economy petro station) by each applicant. [January 10, 2013]

§3. Person Eligible for Recommendation

The person eligible for recommendation shall be the participants in spot e-trading who intend to import the petroleum products to distribute through spot e-trading. However, in case where the Minister of Knowledge Economy deems it necessary for the maintenance of order in domestic market as well as the supply and demand, the Chairman of Exchange may make the recommendation only for the persons meeting specific qualifications by taking into consideration the previous supply objectives, import records and facility size. (Amended on January 10, 2013)

§4. Request for Recommendation

(1) The applicant shall prepare the documents noted in each of the following items and submit them to the Chairman of Exchange: (Amended on January 10, 2013)

1. One (1) copy of request for recommendation on quota tariff application (Form 1 of Annex);
2. One (1) copy of bill of lading;
3. One (1) copy of import agent contract or supply contract (limited to the case where an import agent contract or supply contract has been entered);
4. One (1) copy of import declaration certificate;
5. One (1) copy of import schedule and plan for distribution through e-trading distribution (Form 8 of Annex);

6. In addition, the document that the Chairman of Exchange deems necessary.

(2) The quantity unit in the request for recommendation on quota tariff application noted in Para.(1)1 shall be “barrel” or “metric ton” while adding the quantity in “liter” (158.984 liter per 1 barrel) in parenthesis.

§5. Sequence of Recommendation

When recommending the quota tariff application, the Chairman of Exchange shall make the recommendation of the quantity for quota tariff application according to the order that the request for recommendation on quota tariff application pursuant to [§4] (limited to the valid application that was submitted with all required documents) is received. However, if the Minister of Knowledge Economy deems it necessary for the maintenance of distribution order in the domestic petroleum market, including the purpose of ensuring the demand and supply and promotion of e-trading, the Chairman of Exchange may restrict the recommendation quantity within the limit set by the Minister of Knowledge Economy per applicant who made request during a fixed period while taking into account such factors as the import records and if the applicant is also engaged in the export business by manufacturing the same product in Korea. (Amended on January 10, 2013)

§6. Recommendation Method

The quota tariff shall be recommended per applicant by allocating the requested quantity per petroleum product of concerned applicant using the quantity of gasoline and diesel supply in e-trading pursuant to [§7] as the limit.

§7. Calculation Method of Petroleum Quantity Eligible for Allocation

(1) The quantity of petroleum eligible for recommendation shall be the quantity per petroleum product distributed through e-trading (excluding the quantity for which the custom duty was exempted according to the free trade agreement) while using the

quantity per petroleum product that was imported and went through the custom clearance by the day before the request day for quota tariff recommendation after January 1, 2013 as the upper limit. (Amended on January 10, 2013)

(2) In calculating the quantity of petroleum eligible for quota tariff recommendation noted in Para.(1), the quantity already recommended according to [§5] shall be excluded to prevent the duplicated recommendation. However, in case where the request for recommendation was returned pursuant to [§12], this provision shall not be applied to the quantity specified therein. (Amended on January 10, 2013)

(3) The quantity per petroleum product distributed through e-trading pursuant to Para.(1) shall be based on the quantity for which the delivery of petroleum product has been completed as it was traded by the trading day immediately before the request day for recommendation after January 1, 2013. (Amended on January 10, 2013)

§8. Submission of Materials for Calculation of Quantity of Petroleum Product Eligible for Quota Tariff Recommendation

For the comparison and verification of quantity recommended for quota tariff by the Chairman of Exchange, the applicant shall officially submit the evidential documents such as the acceptance of import declaration to the Chairman of Exchange by the 20th day of the month following the day submitting the request for recommendation.

§9. Processing Deadline and Issuance of Recommendation

(1) The Chairman of Exchange shall issue the recommendation on quota tariff application (hereinafter referred to as the “recommendation”) to the applicant within the business day following the receipt day of valid request for recommendation noted in [§4(1)]. However, this provision shall not be applied to the case where the recommendation was made pursuant to [§2(2) through (4), §3p and §5p]. (Amended on January 10, 2013)

(2) The recommendation pursuant to Para.(1) may be issued as an electronic document (referring to the electronic document specified in [§2(1)] of the Framework Act on Electronic Commence) (Form 3 of Annex).

§10. Validity Period of Recommendation, etc.

(1) The validity period of recommendation shall be twenty (20) days from the issue date. However, in case where the last day of validity period is a public holiday, it shall deem that the validity of recommendation expires on the first business day after the concerned holiday.

(2) When wishing to extend the validity period of recommendation, the concerned applicant shall submit to the Chairman of Exchange the request for extension of validity of recommendation by attaching the recommendation thereto before the expiry of recommendation validity.

(3) If it deems that there is a reason for the request noted in Para.(2), the Chairman of Exchange shall re-issue the recommendation after extending the validity period of original recommendation.

(4) The expiry date of validity of recommendation (including the expiry date of extended validity pursuant to Para.(3)) shall not be later than the last day of quota tariff application of product eligible for the recommendation.

§11. Splitting up of Recommendation

(1) In case where the applicant who has received the quota tariff recommendation asks for the split of quantity stated in the concerned recommendation, the Chairman of Exchange may issue a split-up recommendation.

(2) The applicant who wishes to obtain the split-up recommendation shall submit to the Chairman of Exchange the request for split-up of recommendation by attaching the recommendation to be split thereto.

(3) If it deems that there is a reason for requesting the split-up noted in Para.(2), the Chairman of Exchange shall re-recommend by re-issuing the recommendation that was attached to the request for split-up.

§12. Return of Recommendation

In case where the applicant who received the quota tariff recommendation comes under the case noted in any of the following items, the concerned applicant shall return the recommendation to the Chairman of Exchange without delay:

1. Case of giving up the import of total quantity recommended or the remaining quantity (the quantity after deducting the quantity passed through the custom clearance from the total recommended quantity) according to the recommendation;
2. Case where the validity of recommendation has expired; and
3. In addition, case where it is not possible to import the recommended quantity.

§13. Speedy Custom Clearance of Recommended Product

The applicant who received the quota tariff recommendation shall make an effort to distribute the recommended product as soon as possible by speeding up the import of recommended product and passing the custom clearance within the scheduled import declaration date and expected shipping out date from the bonded zone.

§14. Reporting

For each quarter, the Chairman of Exchange shall submit to the Minister of Knowledge Economy the report on the record of recommendation on quota tariff application (Form 7 of Annex), where the quantities recommended and quantities cleared through the custom in the concerned quarter are comprehensively analyzed, by the 10th day after the end of each quarter.

§15. Verification about Recommender

In case where there is need to verify the details of business of recommender, the Chairman of Exchange may request the recommender to submit the relevant materials or inspect the books and documents or other objects by visiting the offices and business locations and other necessary location of recommender.

ADDENDUM

(July 23, 2012)

§1. Effective Date

This Guideline shall be put into effect on the date that the Minister of Knowledge Economy approves.

§2. Exception in Application of Other Regulations

In case where the contents of this Guideline differ from the guideline on recommendation of quota tariff for goods subject to quota tariff under the jurisdiction of the Ministry of Knowledge Economy (Announcement No. 2012-335), the guideline of Ministry of Knowledge Economy shall take precedence over this Guideline.

§3. Interim Measure

In case where the Chairman of Exchange has recommended the quota tariff application from July 1, 2012 to the effective date of this Guideline, it shall deem that the concerned quota tariff application was recommended according to this Guideline.

ADDENDUM
(January 10, 2013)

§1. Effective Date

This Guideline shall be put into effect on the date that the Minister of Knowledge Economy approves.

§2. Exception in Application of Other Regulations

In case where the contents of this Guideline differ from the guideline on recommendation of quota tariff for goods subject to quota tariff under the jurisdiction of the Ministry of Knowledge Economy (Announcement No. 2012-556), the guideline of Ministry of Knowledge Economy shall take precedence over this Guideline.

[Annex. Form 1] (Amended on January 10, 2013)

Receipt No.						Processing deadline	
						Immediately	
Request for Recommendation on Quota Tariff Application							
① Applicant	Trade name			② Importer	Trade name		
	Address				Address		
	Name of representative				Name of representative		
	Business registration No.				Business registration No.		
	Tel. No. (HP:)				Tel. No. (HP:)		
	Fax No.				Fax No.		
③ Details of request							
H.S. Code	Product name	Quantity & unit	Amount	Country of origin (supplier)	Expected date of import declaration	Expected date of shipping out from bonded zone	Usage

Pursuant to [§71] of the Customs Act, the Ministry of Knowledge Economy Announcement No. 2012-556 and the guideline on requesting for recommendation on quota tariff of petroleum products imported for the distribution through spot e-trading (Ministry of Knowledge Economy Guideline No. 313), we, the undersigned, would like to request your recommendation on quota tariff on petroleum products imported for the distribution through spot e-trading as shown above.

Date

Applicant (seal/signature)

To: Chairman, Korea Exchange

Attachment:

- ① 1 copy of bill of lading
- ② 1 copy of import agent agreement or supply agreement (limited to the case where the applicant has entered the concerned agreements)
- ③ 1 copy of certificate of import declaration
- ④ 1 copy of import schedule and plan for distribution through e-trading
- ⑤ In addition, the document necessary for the recommendation

Service
fee

N/A

[Annex. Form 2] (Amended on January 10, 2013)

Recommendation No.							
Recommendation on Quota Tariff Application							
	Applicant (taxpayer)				Importer		
Trade name							
Address							
Name of representative							
Business registration No.							
Tel. No.	(HP :)				(HP :)		
Fax No.							
◦ Details of recommendation							
H.S. Code	Name of product	Quantity & unit	Amount	Country of origin (supplier)	Expected date of import declaration	Expected date of shipping out from bonded zone	Usage

- Recommendation valid until ...(date).....

The Presidential Decree No. 24288, the regulation concerning the application of quota tariff pursuant to [§71] of the Custom Act and the guideline on requesting for recommendation on quota tariff of petroleum products imported for the distribution through spot e-trading (Ministry of Knowledge Economy Guideline No. 313), I hereby make the recommendation as shown above.

Date

Chairman, Korea Exchange (seal/signature)

Note: This recommendation shall be used until the recommendation is valid and the import shall be declared by the expected date of import declaration and the product shall be shipped out by the expected shipping date from the bonded zone. In case of failure to observe the expected dates, the applicant may be excluded from the future recommendation.

[Annex. Form 3] (Amended on January 10, 2013)

Recommendation for Quota Tariff Application (Electronic Document)
※ Recommendation No.:
1. Applicant (taxpayer)
Trade name: Address: Name: Business registration No.:
2. Importer
Trade name: Address: Name: Business registration No.: Import/Export business registration No.:
3. Details of recommendation
① H. S. Code: ② Product name & price: ③ Quantity recommended: ④ Amount: ⑤ Country of origin (supplier): ⑥ Usage: ⑦ Expected date of import: ⑧ Expected shipping date from bonded area:

① H. S. Code: ② Product name & price: ③ Quantity recommended: ④ Amount: ⑤ Country of origin (supplier): ⑥ Usage: ⑦ Expected date of import: ⑧ Expected shipping date from bonded area:
① H. S. Code: ② Product name & price: ③ Quantity recommended: ④ Amount: ⑤ Country of origin (supplier): ⑥ Usage: ⑦ Expected date of import: ⑧ Expected shipping date from bonded area:
※ Conditions for recommendation: ※ Validity period: Until (data)
※ Legal base: The Presidential Decree No. 24288, the regulation concerning the application of quota tariff pursuant to [§71] of the Custom Act, and the guideline on requesting for recommendation on quota tariff of petroleum products imported for the distribution through spot e-trading (Ministry of Knowledge Economy Guideline No. 313), I hereby make the recommendation as shown above.

Date

Chairman, Korea Exchange (seal/signature)

[Annex. Form 4] (Amended on January 10, 2013)

Receipt No.					Processing deadline
					Immediately
Request for Extension of Validity Period of Quota Tariff Recommendation					
Applicant	① Name (Name of representative)	(seal/signature)			
	② Address				
	③ Business name				
④ Details of request					
⑤ H S code	⑥ Product name	⑦ Recommendation No.	⑧ Expiry date of original validity	⑨ Expiry date of extended validity	

Pursuant to Article 10 of the Guideline on requesting for recommendation on quota tariff of petroleum products imported for the distribution through spot e-trading (Ministry of Knowledge Economy Guideline No. 313), I, the undersigned, request the extension of validity period of quota tariff recommendation.

Reasons for requesting the extension:

Date

Applicant (seal/signature)

To: Chairman, Korea Exchange

Attachment:

- 1 copy of the recommendation on quota tariff application

Service
fee

N/A

[Annex. Form 5] (Amended on January 10, 2013)

Receipt No.:				Processing deadline				
				Immediately				
Request for split-up of quota tariff recommendation								
Applicant	① Name (representative)	(seal/signature)						
	② Address							
	③ Business name							
④ Details of request								
⑤ H S code	⑥ Product name	⑦ Recommendation No.	⑧ Quantity originally recommended	⑨ Details of split-up of recommended quantity				
				1	2	3	4	5

Pursuant to Article 11 of the Guideline on requesting for recommendation on quota tariff of petroleum products imported for the distribution through spot e-trading (Ministry of Knowledge Economy Guideline No. 313), we, the undersigned, request the split-up of the quota tariff recommendation.

Reasons for split-up:

Date

Applicant (seal/signature)

To: Chairman, Korea Exchange

Attachment: - 1 copy of the recommendation on quota tariff application	Service fee
	N/A

[Annex. Form 6]

Recommendation on Split-up of Quota Tariff									
① Recommendation No.:									
② Name of representative:									
③ Address:									
④ Name of business:									
⑤ Details of recommendation									
H S Code	Product name	Transport vessel or tanker	Import date	Quantity originally recommended	Split-up of recommended quantity				
					1	2	3	4	5

Expiry date of validity:

I hereby recommend the split-up as shown above.

Date

Chairman, Korea Exchange (seal/signature)

[Annex. Form 7] (Amended on January 10, 2013)

Report on Quota Tariff Recommendation

To: Minister of Knowledge Economy

From: Name of responsible employee (seal/signature), Korea Exchange

Tel. No. of responsible employee:

Document No.:

Date:

Cc: xxxxxxxx

Title: Record of quota tariff recommended in the X quarter of 20xx

1. Record of quota tariff recommended in the X quarter of 20XX

Product name (HS code:)		Quantity limit (A)	Record of recommendation		Record of custom clearance (B)		Note (A – B)
			In the X quarter	Accumulative total	In the X quarter	Accumulative total	
	Quantity (unit:)						
	Amount (unit:)						

	Quantity (unit:)						
	Amount (unit:)						
	Quantity (unit:)						
	Amount (unit:)						

2. Reasons for improved record of recommendation or failure to make the recommendation up to the quantity limit

3. Difficulties in operating the quota tariff system

4. Plan for improvement

[Annex. Form 8]

Import Schedule & Plan for Distribution Through E-Trading				
Applicant	① Name (representative)	(seal/signature)		
	② Address			
	③ Business name			
※ For a period of one month from the request date for quota tariff recommendation				
④ Product name (H. S. code:)	⑤ Scheduled Import date (month & year)	⑥ Quantity (unit:)	KRX operated e-trading	
			⑦ Expected date of distribution	⑧ Estimated distribution quantity

With regard to the quota tariff recommendation on the imported petroleum products to be distributed through the e-trading, the company I represent intends to distribute the imported petroleum as stated above.

Date

Applicant (seal/signature)

To: Chairman, Korea Exchange